



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

*57th Legislature, 2nd Regular Session
Majority Research Staff*

HB 2918: renewable energy equipment; valuation; depreciation

GRESS FLOOR AMENDMENT

1. Extends the deadline, from January 1, 2027 to January 1, 2030, for certain renewable energy equipment to have their construction initiated before the prescribed calculation used for determining full cash value of the equipment is changed to according to the provisions of the bill.

ADDITIONAL COW
GRESS FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2918
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-14155, Arizona Revised Statutes, is amended
3 to read:

4 42-14155. Valuation of renewable energy and storage
5 equipment; definitions

6 A. Through December 31, 2040, the department shall determine the
7 full cash value of taxable renewable energy and storage equipment in the
8 manner prescribed by this section.

9 B. SUBJECT TO SUBSECTION C OF THIS SECTION, the full cash value of
10 renewable energy and storage equipment is THE FOLLOWING:

11 1. FOR RENEWABLE ENERGY AND STORAGE EQUIPMENT THAT IS NOT OWNED BY
12 OR WHOLLY SUBJECT TO AN EXCLUSIVE POWER PURCHASE AGREEMENT WITH A PUBLIC
13 SERVICE CORPORATION OR PUBLIC POWER ENTITY DOING BUSINESS IN THIS STATE,
14 ONE HUNDRED PERCENT OF THE DEPRECIATED COST OF THE EQUIPMENT. FOR THE
15 PURPOSES OF THIS PARAGRAPH, DEPRECIATED COST SHALL BE DETERMINED BY
16 DEDUCTING DEPRECIATION FROM ORIGINAL COST.

17 2. FOR RENEWABLE ENERGY AND STORAGE EQUIPMENT THAT IS OWNED BY OR
18 WHOLLY SUBJECT TO AN EXCLUSIVE POWER PURCHASE AGREEMENT WITH A PUBLIC
19 SERVICE CORPORATION OR PUBLIC POWER ENTITY DOING BUSINESS IN THIS STATE
20 AND [THAT IS IN SERVICE] [THE CONSTRUCTION OF THE RENEWABLE ENERGY AND
21 STORAGE EQUIPMENT WAS INITIATED] BEFORE JANUARY 1, [2027] [2030], twenty
22 percent of the depreciated cost of the equipment. FOR THE PURPOSES OF
23 THIS PARAGRAPH, depreciated cost shall be determined by deducting
24 depreciation from taxable original cost.

25 3. FOR RENEWABLE ENERGY AND STORAGE EQUIPMENT THAT IS OWNED BY OR
26 WHOLLY SUBJECT TO AN EXCLUSIVE POWER PURCHASE AGREEMENT WITH A PUBLIC
27 SERVICE CORPORATION OR PUBLIC POWER ENTITY DOING BUSINESS IN THIS STATE
28 AND [THAT IS IN SERVICE] [THE CONSTRUCTION OF THE RENEWABLE ENERGY AND
29 STORAGE EQUIPMENT WAS INITIATED] FROM AND AFTER DECEMBER 31, [2026]

1 [2029], ONE HUNDRED PERCENT OF THE DEPRECIATED COST OF THE EQUIPMENT. FOR
2 THE PURPOSES OF THIS PARAGRAPH, DEPRECIATED COST SHALL BE DETERMINED BY
3 DEDUCTING DEPRECIATION FROM ORIGINAL COST.

4 C. FOR THE PURPOSES OF DETERMINING FULL CASH VALUE OF RENEWABLE
5 ENERGY AND STORAGE EQUIPMENT PURSUANT TO SUBSECTION B OF THIS SECTION,
6 depreciation shall not exceed ninety percent of the adjusted original
7 cost.

8 ~~E.~~ D. For the purposes of this section, all energy storage
9 equipment, both colocated with renewable energy and stand-alone energy
10 storage equipment, qualifies for valuation pursuant to this section.

11 ~~D.~~ E. For the purposes of this section:

12 1. "Depreciation" means straight-line depreciation over the useful
13 life, as adopted by the department, of the item of property.

14 2. "Electric utility scale" means a person that is engaged in a
15 business activity described in section 42-5063, subsection A or such
16 person's equipment or wholesale electricity suppliers.

17 3. "Energy storage" means commercially available technology for
18 electric utility scale that is capable of absorbing energy, storing energy
19 for a period of time and thereafter dispatching the energy and that uses
20 mechanical, chemical or thermal processes to store energy.

21 4. "Original cost" means the actual cost, without trending, of
22 acquiring or constructing property, including additions, retirements,
23 adjustments and transfers.

24 5. "Renewable energy and storage equipment" means electric
25 generation facilities, electric transmission, electric distribution,
26 energy storage, gas distribution or combination gas and electric
27 transmission and distribution and transmission and distribution
28 cooperative property that is located in this state, that is used or useful
29 for generating, storing, transmitting or distributing electric power,
30 energy or fuel derived from solar, wind or other nonpetroleum renewable
31 sources not intended for self-consumption, including materials and
32 supplies and construction work in progress, but excluding licensed
33 vehicles and property valued under sections 42-14154 and 42-14156.

34 6. "Taxable original cost" means the original cost reduced by the
35 value of any investment tax credits, production tax credits or cash grants
36 in lieu of investment tax credits applicable to the taxable renewable
37 energy and storage equipment.

38 Enroll and engross to conform

39 Amend title to conform

MATT GRESS

2918FloorGRESS.docx

03/03/2026

11:11 AM

H: CW/lr

130DRSSSR